CFRA

Charles River Laboratories International, Inc.

Recommendation	Price	12-Mo. Target Price	Report Currency	Investment Style
BUY ★★★★☆	USD 181.91 (as of market close Nov 03, 2023)	USD 240.00	USD	Mid-Cap Growth

Equity Analyst Sel Hardy

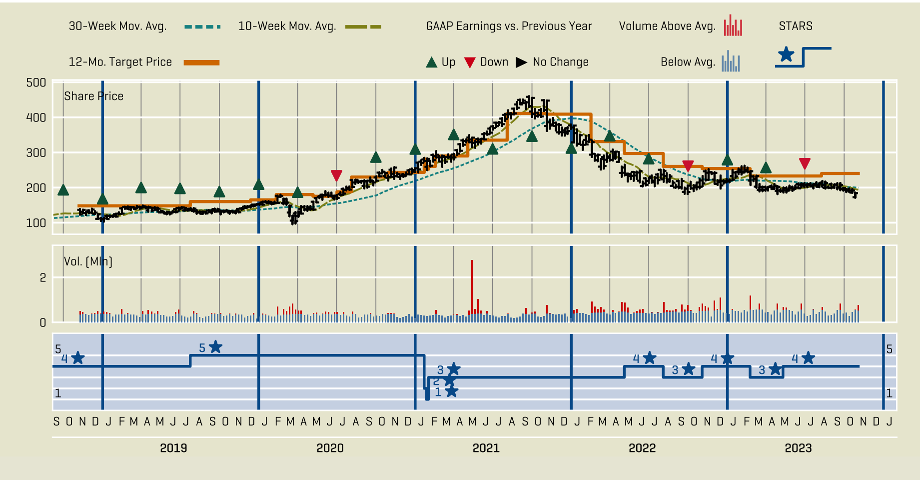
GICS Sector Health Care
Sub-Industry Life Sciences Tools and Services

Summary CRL serves drug developers and manufacturers, providing purpose-bred rodents for drug testing, drug discovery, and safety and manufacturing services.

Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports)

52-Wk Range	**USD 262.0 - 161.65**	Oper.EPS2023**E**	**USD 10.85**	Market Capitalization[B]	**USD 8.96**	Beta	**1.33**
Trailing 12-Month EPS	**USD 11.08**	Oper.EPS2024**E**	**USD 12.30**	Yield [%]	**N/A**	3-yr Proj. EPS CAGR[%]	**15**
Trailing 12-Month P/E	**16.42**	P/E on Oper.EPS2023**E**	**16.77**	Dividend Rate/Share	**N/A**	SPGMI's Quality Ranking	**B+**
USD 10K Invested 5 Yrs Ago	**14,730.0**	Common Shares Outstg.[M]	**51.00**	Trailing 12-Month Dividend	**N/A**	Institutional Ownership [%]	**99.0**

Price Performance



Source: CFRA, S&P Global Market Intelligence
Past performance is not an indication of future performance and should not be relied upon as such.
Analysis prepared by **Sel Hardy** on Sep 08, 2023 05:07 PM ET, when the stock traded at **USD 199.74**.

Highlights

- CRL posted strong Q2 sales of $1.06B, up 9% Y/Y or 11% organically, slightly above expectations. The core DSA segment (63% of total revenue, +12% Y/Y) continued to post robust revenue growth in Q2, led by higher pricing and volume in the safety assessment business. As of the end of June 2023, CRL's Discovery and Safety Assessment (DSA) backlog was at $2.8B vs. $3.0B as of March 2023, a slight deceleration Q/Q, but still supporting a long growth runway. The RMS segment's revenue rose by 13% Y/Y, driven by solid demand globally for research models, counterbalancing the 4% Y/Y decline in the Manufacturing segment.
- CRL divested its Avian Vaccine business in December 2022 after deciding it no longer made strategic sense in bringing top- and bottom-line growth to the portfolio. The divestiture resulted in lower top-line revenue growth of 2.3% in Q2, negatively impacting the Manufacturing segment sales.
- CRL continues operating with elevated capital spending, likely to hit 9% of revenue in 2023 (8% in 2022), which is a marked uptick from a normalized 6% level. We believe this is a reflection of rising demand from some of CRL's end markets that entails new capacity and represents a good problem to have.

Investment Rationale/Risk

- Our opinion remains Buy, after Q2 earnings release. Following strong 1H 2023 results and some actions taken to mitigate the impact of the Nonhuman primates (NHP) supply constraints, we think shares continue to be attractive at current valuations. In the long term, we expect solid growth driven by the expansion of biologic drug research and CRL's research model capacity investments. While most large CROs work on human clinical trials, CRL focuses on pre-clinical products and services, where we believe it is the clear leader. CRL also holds good visibility into 2023 with its strong backlog in DSA, strong client pipelines, and pricing power.
- Risks to our recommendation and target include a prolonged economic decline in key markets such as China; resumption of new Covid-19 variants that restrict economic recovery globally; a slowdown or uptick in outsourced drug discovery; unfavorable movements in foreign exchange rates; rising cost inflation; additional issues arising from NHP shortages; and unfavorable legal developments related to CRL's patent protection.
- Our 12-month target of $240 reflects a 19.5x multiple applied to projected 2024 EPS, a discount to CRL's historical forward average.

Analyst's Risk Assessment

LOW | **MEDIUM** | HIGH

CRL operates in a highly competitive marketplace for drug development and manufacturing support contracts, where demand is often determined by volatile over- or under-capacity fluctuations at biopharmaceutical companies. CRL is also subject to material cybersecurity risks as its client data is highly valuable to hackers who have, on occasion, illegally gained access to its systems. These risks are partially offset by favorable long-term demand trends, stable leadership positions in the research model and pre-clinical drug development markets, and by low customer concentration, with none accounting for more than 3% of revenue.

Revenue/Earnings Data

Revenue (Million USD)

	1Q	2Q	3Q	4Q	Year
2024	**E** 1,035	**E** 1,055	**E** 1,102	**E** 1,198	**E** 4,390
2023	1,029	1,060	**E** 1,007	**E** 1,055	**E** 4,151
2022	914	973	989	1,100	3,976
2021	825	915	896	905	3,540
2020	707	683	743	791	2,924
2019	605	658	668	691	2,621

Earnings Per Share (USD)

	1Q	2Q	3Q	4Q	Year
2024	**E** 2.59	**E** 3.14	**E** 3.22	**E** 3.35	**E** 12.30
2023	2.78	2.69	**E** 2.48	**E** 2.90	**E** 10.85
2022	2.75	2.77	2.63	2.98	11.12
2021	2.53	2.61	2.70	2.49	10.32
2020	1.84	1.58	2.33	2.39	8.13
2019	1.40	1.63	1.69	2.01	6.73

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data

No cash dividends have been paid in the last year.

Charles River Laboratories International, Inc.

Business Summary Sep 08, 2023

CORPORATE OVERVIEW: Charles River Laboratories (CRL) is a global Contract Research Organization (CRO) providing drug discovery and drug development services to pharmaceutical, biotechnology, and medical device companies, government agencies, and academic institutions worldwide. The company operates under three reporting segments, as detailed below.

RESEARCH MODELS AND SERVICES (RMS): RMS produces and sells animal research models, primarily purpose-bred rodents, for use by researchers. CRL has been supplying models since 1947 and is currently the largest global provider. Regulatory bodies typically require new drugs and medical devices be tested for safety and efficacy on research models prior to testing in humans (phase I-IV clinical trials). This makes research models an essential part of the drug development process.

RMS generated 18.6% of 2022 sales with a 21% operating margin. We think the segment has a strong long-term growth opportunity in emerging countries, where biopharmaceutical R&D operations are in a nascent stage. With its global reach, we think CRL is an attractive choice for research model supply in these markets, as domestic peers typically cannot match RMS's sophisticated product offerings, particularly its genetically engineered models that are purpose-bred for specific tests. We also think global biopharmaceuticals prefer one research model provider rather than separate suppliers in each country they operate in, giving CRL an advantage over smaller-scale suppliers. Barriers to entry in the research model business are high, in our view, as it is a highly specialized product with significant start up capital investments.

DISCOVERY AND SAFETY ASSESSMENT (DSA): DSA services enable clients to outsource drug discovery research, pre-clinical development studies, and regulatory-required safety testing on potential new drugs. Biopharma companies often choose to outsource aspects of their discovery, development, and safety activities to CRL as it reduces their operational expenses required to conduct necessary scientific studies. Additionally, outsourcing to CRL provides access to scientific expertise that clients may lack internally.

DSA generated 61.5% of 2022 sales with a 21.7% operating margin. We believe CRL is one of the largest provider of services in drug discovery, pre-clinical development, and safety testing worldwide. Most global CROs tend to focus on the clinical development stage (phase I-IV), whereas we believe that DSA mainly competes with smaller-scale CROs. For this reason, we think DSA's market share growth trajectory is significantly higher than peers, as it possesses a scale advantage over its smaller competitors. Conversely, global CROs competing in the clinical space are often up against large competitors with equal scale advantages.

MANUFACTURING SUPPORT (MS): MS helps ensure the safe production of manufactured drugs, primarily through quality control testing. Biopharmaceutical companies often rely on this segment to make sure their drug products meet government regulations for production and safety. MS generated 19.8% of 2022 sales with a 21% operating margin.

INDUSTRY TRENDS: Demand for CRO services moves in parallel with drug demand, in our view, as the industry's lifeblood is R&D spend from biopharmaceutical firms. In the U.S., the 65+ cohort is growing roughly 5x faster than the general population with a similar dynamic playing out in many developed economies. This aging is likely to drive sustainable long-term demand growth for pharmaceuticals, as seniors are more reliant on medications. Additionally, advanced health care is beginning to penetrate parts of the globe that have lagged behind developed economies. Demand for pharmaceuticals should rise as growing middle classes in emerging markets gain access to prescription drugs. In turn, we expect CROs to see rising long term demand as they continue to support the development and manufacture of medications to serve the growing prescription-using population worldwide. Upcoming patent cliffs also encourage R&D spend as biopharma companies look to replace revenue loss. In 2023, we expect Y/Y R&D growth moderation as biopharma looks to maximize profits by turning to M&A offerings that include already commercialized products, but we expect this trend to reverse in subsequent years.

COMPETITIVE ADVANTAGES: The life sciences tools and services marketplace is fragmented and competitive, with a global market size of $145B as of 2022 based on industry sources. We believe CRL has two important competitive advantages. As the global leader in research model supply, CRL has established trusted relationships with biopharmaceutical clients of all sizes. We think these strong relationships on research models make CRL the likely choice for the same customers' downstream contracts on drug development or manufacturing support. In our view, this provides CRL with an advantage over competing firms trying to establish a first-time relationship with CRL's customers on downstream services. Additionally, we think CRL is the largest CRO in the pre-clinical space, with most global CROs focusing mainly on phase I-IV clinical trials. For this reason, we think most of CRL's competition in the DSA segment is from significantly smaller competitors, giving it an important scale advantage. We think CRL's competitive advantages will allow it to continue growing materially faster than competitors in each of its three segments.

DEVELOPMENTS: CRL divested its $80M revenue Avian vaccine business in 2022. Proceeds ($170M) were aimed towards debt reduction.

In Q1 2023, CRL faced a non-human primate supply disruption as a result of the Department of Justice's (DOJ) proceedings criminally charging a Cambodian supplier with illegally importing NHPs. CRL stated that it did not have any direct contracts with the indicted but was subpoenaed by the DOJ.

FINANCIAL TRENDS: Revenues increased from $1.8B in 2017 to $3.9B in 2022, representing a CAGR of 16%. Adj. EPS rose from $5.27 in 2017 to $11.12 in 2022, representing a CAGR of 16%. As of December 31, 2022, CRL had moderate leverage with net debt/EBITDA at 2.9x and EBITDA covering net interest expense by almost 18x.

Corporate information

Investor contact
T. Spencer (781 222 6000)

Office
251 Ballardvale Street, Wilmington, Massachusetts, 01887

Telephone
781 222 6000

Fax
N/A

Website
www.criver.com

Officers

Corporate Senior VP & Chief Accounting Officer
M. G. Knell

Chairman, CEO & President
J. C. Foster

Corporate Executive VP & CFO
F. H. Pease

Corporate Senior VP, General Counsel, Corporate Secretary & Chief Compliance Officer
M. L. Daniel

Corporate Executive VP & COO
B. Girshick

Board Members

C. B. Thompson	M. W. MacKay
C. R. Reese	N. C. Andrews
D. T. Kochevar	R. F. Wallman
G. E. Massaro	R. J. Bertolini
G. Llado	V. M. Wilson
J. C. Foster	

Domicile
Delaware

Founded
1947

Employees
20,700

Stockholders
75

Auditor
PricewaterhouseCoopers LLP

Charles River Laboratories International, Inc.

Quantitative Evaluations

Fair Value Rank: 1 | 2 | 3 | 4 | **5** (LOWEST – HIGHEST)

Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued (1) to most undervalued (5).

Fair Value Calculation USD 260.76 — Analysis of the stock's current worth, based on CFRA's proprietary quantitative model suggests that CRL is undervalued by USD 78.85 or 43.35%

Volatility: **LOW** | AVERAGE | HIGH

Technical Evaluation BEARISH — Since September, 2023, the technical indicators for CRL have been BEARISH"

Insider Activity: UNFAVORABLE | **NEUTRAL** | FAVORABLE

Expanded Ratio Analysis

	2022	2021	2020	2019
Price/Sales	2.81	5.36	4.36	2.88
Price/EBITDA	11.62	21.26	18.90	12.89
Price/Pretax Income	17.94	39.50	28.49	24.83
P/E Ratio	19.60	35.78	30.96	22.58
Avg. Diluted Shares Outstg. (M)	51.30	51.42	50.61	49.69

Figures based on fiscal year-end price

Key Growth Rates and Averages

Past Growth Rate (%)	1 Year	3 Years	5 Years
Net Income	24.36	24.49	31.56
Sales	12.31	14.90	16.44
Ratio Analysis (Annual Avg.)			
Net Margin (%)	12.23	11.91	11.07
% LT Debt to Capitalization	43.42	45.08	47.64
Return on Equity (%)	17.54	17.85	17.88

Company Financials Fiscal year ending Dec 31

Per Share Data (USD)	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Tangible Book Value	-16.27	-24.53	-9.69	-12.17	-11.22	-2.73	-7.29	0.29	3.64	6.85
Free Cash Flow	5.80	10.58	7.67	6.99	6.20	4.92	5.52	5.20	4.16	3.52
Earnings	9.48	7.60	7.20	5.07	4.59	2.54	3.22	3.15	2.70	2.15
Earnings (Normalized)	11.12	10.32	8.13	6.73	6.03	5.27	4.56	3.76	3.46	2.93
Dividends	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Payout Ratio (%)	NM	NM	NM	NM	NM	NM	NM	NM	NM	NM
Prices: High	379.65	460.21	257.88	152.91	139.72	119.05	89.18	84.69	66.11	53.81
Prices: Low	181.36	243.36	95.58	103.00	96.70	75.25	65.70	59.99	49.60	36.50
P/E Ratio: High	34.10	44.60	31.70	22.70	23.20	22.60	19.60	22.50	19.10	18.40
P/E Ratio: Low	16.30	23.60	11.80	15.30	16.00	14.30	14.40	16.00	14.30	12.50
Income Statement Analysis (Million USD)										
Revenue	3,976	3,540	2,924	2,621	2,266	1,858	1,681	1,363	1,298	1,166
Operating Income	659.00	628.00	439.00	388.00	342.00	313.00	273.00	230.00	192.00	156.00
Depreciation + Amortization	304.00	266.00	235.00	198.00	162.00	131.00	127.00	95.00	92.00	97.00
Interest Expense	59.00	74.00	86.00	61.00	64.00	30.00	28.00	15.00	12.00	21.00
Pretax Income	623.00	481.00	447.00	304.00	282.00	297.00	223.00	195.00	178.00	138.00
Effective Tax Rate	20.90	17.00	18.30	16.50	19.30	57.70	30.00	22.20	26.80	23.80
Net Income	486.00	391.00	364.00	252.00	226.00	123.00	155.00	149.00	127.00	103.00
Net Income (Normalized)	311.30	302.80	291.10	211.70	179.70	192.80	160.00	129.00	117.10	87.80
Balance Sheet and Other Financial Data (Million USD)										
Cash	234.00	241.00	229.00	239.00	196.00	192.00	121.00	138.00	176.00	167.00
Current Assets	1,439	1,274	1,201	1,021	898.00	827.00	657.00	559.00	579.00	553.00
Total Assets	7,603	7,024	5,491	4,693	3,856	2,930	2,712	2,069	1,871	1,633
Current Liabilities	1,092	1,033	840.00	710.00	558.00	464.00	430.00	312.00	295.00	247.00
Long Term Debt	2,679	2,639	1,904	1,822	1,611	1,086	1,181	814.00	717.00	642.00
Total Capital	6,171	5,545	4,304	3,691	3,006	2,209	2,089	1,629	1,477	1,328
Capital Expenditures	325.00	229.00	167.00	141.00	140.00	82.00	55.00	63.00	57.00	39.00
Cash from Operations	620.00	761.00	547.00	481.00	437.00	316.00	315.00	305.00	251.00	207.00
Current Ratio	1.32	1.23	1.43	1.44	1.61	1.78	1.53	1.79	1.97	2.24
% Long Term Debt of Capitalization	43.40	47.60	44.20	49.40	53.60	49.20	56.50	50.00	48.50	48.30
% Net Income of Revenue	12.20	11.00	12.50	9.60	10.00	6.60	9.20	11.00	9.80	8.80
% Return on Assets	5.63	6.27	5.39	5.67	6.30	6.94	7.14	7.30	6.85	6.04
% Return on Equity	17.50	16.80	19.20	16.90	18.90	13.10	19.30	20.70	19.00	16.60

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

Charles River Laboratories International, Inc.

Sub-Industry Outlook

We have a negative outlook for the life sciences tools & services (LSTS) sub-industry for the next year. In May 2023, the U.S. government declared the end of the Covid-19 health emergency. We think this notable change in the health care landscape is resulting in additional headwinds for a number of LSTS companies. We have already seen several companies recording sharp declines in Covid-19-related revenues Y/Y in the first half of 2023 resulting from large Covid-19 sales reversals globally.

In 2022, the R&D spending of the S&P Global 1200's biopharmaceutical companies remained modest at 3.2%. In our baseline scenario, we anticipate the R&D spending growth to remain muted until the second half of 2024 due to uncertainties in the global macroeconomic environment and more cautious spending from biopharma clients. In the first nine months of 2023, we saw delayed orders as companies were worried about inflation, the cost of capital, and rising interest rates. While inflation is starting to moderate globally, we expect the spending caution to remain until the second half of 2024 as macroeconomic pressures are persisting globally. In Q3, we saw several LSTS companies negatively impacted by a prolonged economic slowdown in China, a key international market, which translated into further deceleration in sales versus Q1 and Q2. This softness is expected to persist for the rest of the year and part of 2024, creating more challenging operating conditions and potentially reducing revenues. In response to a more difficult sales environment, we are seeing a number of LSTS companies embarking on or extending cost management initiatives such as cost savings, layoffs, and reducing real estate space to preserve margins.

The National Institutes of Health's (NIH) budget has been growing over the last three years, increasing funding for academic and government labs. This, in turn, helps drive sales growth for many LSTS companies that supply these labs. The NIH budget for fiscal year 2023 (Sep.) rose 6.5%, which was well below what was desired, around 35%. Yet, this was in line with the hikes in recent years in the 5%-7% range. The Senate spending panel approved a 2% increase for the FY 2024 NIH budget ($47.8 billion) in July 2023, slightly below expectations.

The booming economic cycle before Covid-19 drove a notable increase in M&A activity within the LSTS industry. The 2017-2022 period saw a notable acceleration in the industry's invested capital growth due to several major acquisitions. This was mainly driven by a desire to take advantage of a low interest rate environment, and by large companies seeking to acquire new technologies and business from smaller rivals to bolster growth prospects. So far in 2023, we have seen a reversal of this trend and a cooled down M&A environment for LSTS companies given the rise in interest rates.

In August 2021, in a controversial move, ILMN decided to complete the $7.1 billion acquisition of Grail, which it previously divested in 2016, before the European Commission's review conclusion. In April 2023, the FTC ordered the divestiture of Grail due to concerns over diminished competition, and in October 2023, the European Commission asked Illumina to sell Grail in the next 12 months.

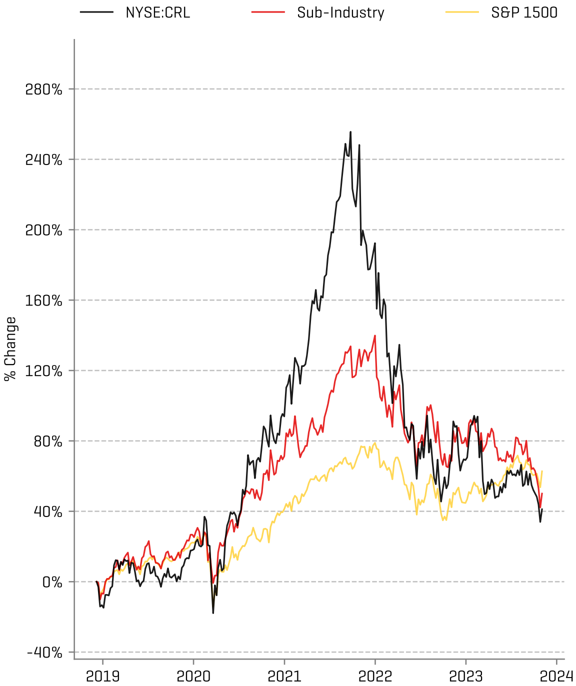
Year-to-date through October 27, the S&P Composite 1500 Life Sciences Tools & Services index fell by 21.8% versus a 6.2% increase for the S&P Composite 1500 Index. In 2022, Life Sciences declined by 24.2% versus 19.1% for the 1500.

/ Sel Hardy

Industry Performance

GICS Sector: **Health Care**
Sub-Industry: **Life Sciences Tools and Services**

Based on S&P 1500 Indexes
Five-Year market price performance through Nov 04, 2023



NOTE: A sector chart appears when the sub-industry does not have sufficient historical index data.
All Sector & Sub-Industry information is based on the Global Industry Classification Standard (GICS).
Past performance is not an indication of future performance and should not be relied upon as such.
Source: CFRA, S&P Global Market Intelligence

Sub-Industry: Life Sciences Tools and Services Peer Group*: Life Sciences Tools and Services

Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. (M)	30-Day Price Chg. (%)	1-Year Price Chg. (%)	P/E Ratio	Fair Value Calc.	Yield (%)	Return on Equity (%)	LTD to Cap (%)
Charles River Laboratories International, Inc.	**CRL**	**NYSE**	**USD**	**174.71**	**8,958.0**	**-8.8**	**-19.0**	**16.0**	**260.76**	**N/A**	**16.4**	**41.5**
10x Genomics, Inc.	TXG	NasdaqGS	USD	36.53	4,289.0	-8.2	35.7	NM	N/A	N/A	-21.9	N/A
Avantor, Inc.	AVTR	NYSE	USD	18.20	12,310.0	-11.4	-5.6	16.0	14.21	N/A	7.5	48.7
Bio-Rad Laboratories, Inc.	BIO	NYSE	USD	281.19	8,154.0	-19.8	-21.0	23.0	N/A	N/A	-1.9	12.1
Bio-Techne Corporation	TECH	NasdaqGS	USD	55.41	8,768.0	-16.7	-25.6	36.0	N/A	0.6	13.2	17.3
Bruker Corporation	BRKR	NasdaqGS	USD	56.41	8,284.0	-7.7	-7.6	26.0	N/A	0.4	29.3	44.6
Medpace Holdings, Inc.	MEDP	NasdaqGS	USD	264.64	8,120.0	10.3	26.0	31.0	N/A	N/A	66.6	N/A
Qiagen N.V.	QGEN	NYSE	USD	38.19	8,714.0	-3.9	-11.4	19.0	N/A	N/A	13.8	27.4
Repligen Corporation	RGEN	NasdaqGS	USD	136.54	7,623.0	-9.7	-20.4	67.0	N/A	N/A	6.1	N/A
Revvity, Inc.	RVTY	NYSE	USD	83.95	10,421.0	-21.7	-35.5	16.0	129.73	0.3	2.9	26.9
Stevanato Group S.p.A.	STVN	NYSE	USD	26.04	6,893.0	-12.2	82.2	44.0	N/A	0.2	14.4	N/A

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.
NA-Not Available; NM-Not Meaningful.
Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

Charles River Laboratories International, Inc.

Analyst Research Notes and other Company News

August 09, 2023
10:27 AM ET... CFRA Keeps Buy on Shares of Charles River Laboratories International, Inc. (CRL 215.00****):
We raise our 12-month target price by $7 to $240, 19.5x our 2024 EPS estimate, a discount to CRL's historical forward P/E average. We maintain our 2023 EPS estimate at $10.85 and keep our 2024 view at $12.30. CRL reported Q2 EPS of $2.69 vs. $2.77, $0.05 above the S&P Capital IQ consensus. Q2 sales of $1.06B, up 9% Y/Y or 11.2% organically, were $6M above consensus, despite the lower revenue growth of 2.3% driven by the Avian Vaccine business divestiture in December 2022 negatively impacting the Manufacturing segment sales. The core DSA segment (63% of total sales, +12% Y/Y) continued to post solid revenue growth led by higher pricing and volume in the safety assessment business. The RMS segment revenue (20% of total sales) rose by 13% Y/Y driven by robust demand across the globe for research models, and especially in China. CRL raised the lower end of its revenue growth guidance range for 2023 by 0.5% to 2.5%-4.5% Y/Y and now expects adjusted EPS in the range of $10.30- $10.90 vs. the earlier $9.90-$10.90. / Sel Hardy

May 11, 2023
12:36 PM ET... CFRA Raises Opinion on Shares of Charles River Laboratories to Buy from Hold (CRL 193.42****):
We keep our target at $233, 18.9x our 2024 EPS estimate, a discount to CRL's historical forward P/E average. Following a strong Q1 and some actions taken to mitigate the impact of the NHP supply constraints, we think shares are attractive at current valuations. We lift our 2023 EPS estimate by $0.15 to $10.85 and keep 2024's at $12.30. Q1 EPS of $2.78 vs. $2.75 was $0.19 above the consensus driven by strong Q1 sales (up 13% Y/Y), a $43M consensus beat. The core DSA segment (64% of total revenue, +22% Y/Y) continued to post robust revenue growth in Q1 due to strong momentum in the safety assessment business. The RMS segment's revenue rose by 13% Y/Y driven by solid demand globally for small research models, counterbalancing the 13% Y/Y decline in the Manufacturing segment, resulting from weakness in CDMO and Biologics Testing. CRL raised the lower end of its revenue growth guidance range for 2033 by 0.5% to 2.0%-4.5% Y/Y and now expects adjusted EPS in the range of $9.90-$10.90, which we view as achievable. / Sel Hardy

February 23, 2023
12:15 AM ET... CFRA Lowers Opinion on Shares of Charles River Laboratories to Hold from Buy (CRL 217.00***):
We cut our 12-month target by $21 to $233, (using a probability weighted valuation reflecting NHP supply resumption vs. one without) 19x our '24 EPS estimates, a more normalized year. Our multiple is a discount to the 5-year average of 24x. We cut our '23 EPS estimate by $1.41 to $10.70 and start our '24 EPS estimate at $12.30. Q4 adj. EPS of $2.98 beat by $0.23 on revenues of $1,100M, $65M above consensus. '22 and Q4 revenue strength are attributed to CRL's DSA segment, the only segment that grew margins in 2H22, which now faces NHP supply woes. Higher interest expenses, higher tax rate, and divestitures will further test performance. RMS (CRADL and price realization) and Manufacturing (CDMO rebound) benefits are expected to offset some DSA headwinds, minimizing op. margin decline to 75 bps (midpt). Our supply concerns are eased by current NHP supply and underlying trends ex-DSA, but uncertain monetary policy (U.S.) could see these trends strained. Pending more clarity on NHP, we lower to Hold from Buy. / Ana Garcia

November 30, 2022
12:10 PM ET... CFRA Keeps Buy on Shares of Charles River Laboratories (CRL 221.00****):
CRL's stock plummeted 12% during CRL's segment at the 5th Annual Evercore ISI HealthCONx Conference as it addressed the potential, non human primate (NHP) supply chain constraints. CRL filed an 8-K which states CRL was not referenced in the Nov. 16th, DOJ proceedings criminally charging a Cambodian supplier with illegally importing NHP's, and that CRL does not have any direct contracts with the indicted. Mr. Foster added that a different supplier in Cambodia is currently unable to ship NHP's. This further strains the NHP supply after China banned exports of NHP's in 2019 causing NHP prices to doubled to $11K per animal with prices reaching $35K, per Bloomberg. CRL assures it will use whatever models are available to prevent a chilling effect on drug development. CRL does not expect an impact for remainder of '22, but we see persistent bottlenecks contracting RSM's gross margins in '23 (19.5% of '21 revenues). We see CRL's diversified portfolio in RMS, and company wide, as offsetting some of the impact. / Ana Garcia

November 03, 2022
08:57 AM ET... CFRA Raises View on Shares of Charles River Laboratories to Buy from Hold (CRL 215.00****):
We trim our 12-month target by $6 to $254, 21x our '23 EPS, in line with CRL's historical forward average. We lift our '22 EPS estimate by $0.16 to $10.87 and lower '23's by $0.25 to $12.11. Q3 EPS of $2.63 beat by $0.13 on revenues of $989M, $19M or 2% above consensus. CRL narrowed its '22 revenue and EPS target range towards the high end after a successful Q3. Revenue grew 10.4% Y/Y, led by the DSA segment (+16.5% Y/Y), which benefited from strong client pipelines and price increases. DSA backlog grew 7.5% Q/Q providing future demand visibility. CRL's hiring in '22 positions it for market share gains as peers struggle in meeting volume demand. CRL entered into an agreement to divest the Avian Vaccine business for $170M in cash (+$30M in contingencies). Proceeds will be used to reduce debt. We lift our view to Buy from Hold, as the impact from closures in China were not observed in Q3 and 2/3rds of debts are now on a fixed rate. Slow ramp up in CRADL utilization and low CDMO demand pose margin pressures. / Ana Garcia

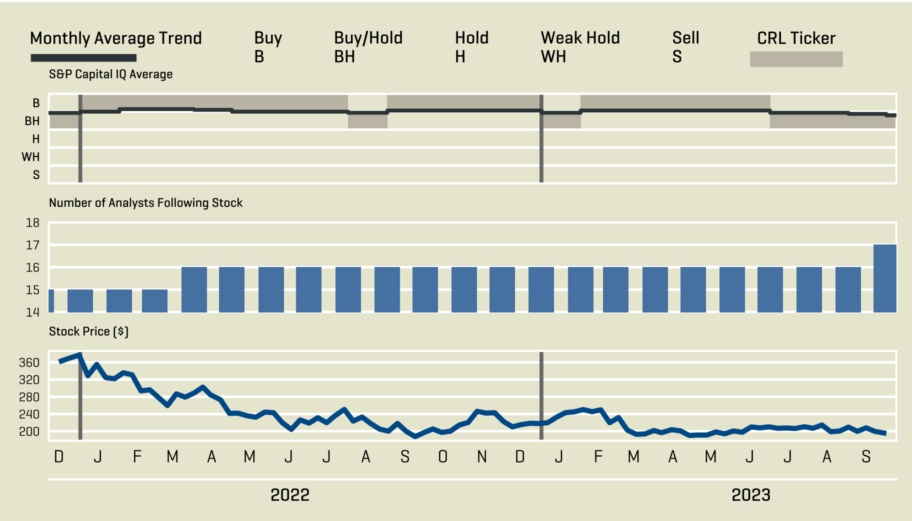
August 04, 2022
01:13 PM ET... CFRA Lowers View on Shares of Charles River Laboratories to Hold from Buy (CRL 221.38***):
We cut our 12-month target by $37 to $260, 21x our '23 EPS, in line with CRL's 10-year historical forward average. We lower '22 EPS by $0.90 to $10.71 and '23's by $0.83 to $12.36. CRL missed consensus Q2 revenue by $22M, but beat consensus Q2 EPS by $0.03. '22 EPS guidance was lowered $0.80 at the midpoint, with $0.40 attributed to lower CDMO business revenues and $0.40 to FX headwinds and interest rate hikes. The CDMO business appears to have come with a learning curve, a longer sales cycle, and no current backlog of business. CRL stresses no concern on biotech funding, but attributes DSA extended decision timelines to that client base. We recommend a Hold, considering half of the $3B of debt is on a floating rate basis, unfavorable working capital trends, and ongoing strict zero-Covid policy in China not baked into guidance. In addition, CRL is reformatting multiple recent acquisitions that could add additional challenges before seeing the benefits, all while focusing capital strategy on debt repayment. / Ana Garcia

May 05, 2022
10:55 AM ET... CFRA Lifts View on Shares of Charles River Laboratories to Buy from Hold (CRL 252.08****):
Our upgrade is on valuation, with shares down 35% YTD. Our 12-month target price of $297, cut $34, reflects a 22.5x multiple applied to projected '23 EPS, in line with CRL's historical forward average. We cut our '22 EPS estimate by $0.03 to $11.61, and '23's by $0.03 to $13.19. Q1 EPS of $2.75, vs. $2.53, beat consensus by $0.03. CRL notes that it has over $1 billion in backlog in its DSA segment earmarked for '23, and that it continues to get both price and market share gains. CRL also noted that one large customer agreed to a take-or-pay contract to obtain capacity with DSA, which we think signals a fairly tight market. CRL estimates that its biotech client base averages three years' worth of cash on hand for funding projects, although about 10% of its DSA backlog is attached to smaller, publicly-traded clients with just two years' worth of cash. Although recent M&A is margin-degrading, we think organic growth opportunities abound, and organic margin trends are positive. / Stewart Glickman, CFA

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

Charles River Laboratories International, Inc.

Analysts Recommendations



	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	10	59	10	10
Buy/Hold	2	12	2	3
Hold	5	29	5	3
Weak hold	0	0	0	0
Sell	0	0	0	0
No Opinion	0	0	0	0
Total	17	100	17	16

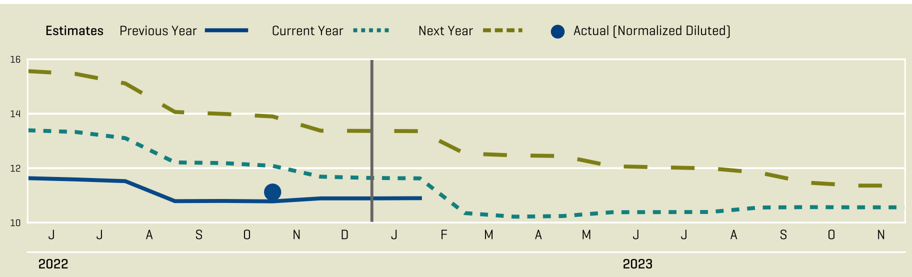
Wall Street Consensus Opinion

Buy/Hold

Wall Street Consensus vs. Performance

For fiscal year 2023, analysts estimate that CRL will earn USD 10.56. For fiscal year 2024, analysts estimate that CRL's earnings per share will grow by 7.57% to USD 11.36.

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2024	11.36	12.40	10.91	17	15.38
2023	10.56	10.79	10.36	17	16.54
2024 vs. 2023	**▲ 8%**	**▲ 15%**	**▲ 5%**	**N/A%**	**▼ -7%**
Q3'24	2.83	3.28	2.70	9	61.67
Q3'23	2.37	2.51	2.33	15	73.78
Q3'24 vs. Q3'23	**▲ 20%**	**▲ 31%**	**▲ 16%**	**▼ -40%**	**▼ -16%**

Forecasts are not reliable indicator of future performance.
Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.
Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

Glossary

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs (American Depositary Receipts), and ADSs (American Depositary Shares) based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS (Stock Appreciation Ranking System), equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark (e.g., a regional index (MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index)), based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

(also known as **S&P Capital IQ Earnings & Dividend Rankings**) - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsulize the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+	Highest	B	Below Average
A	High	B-	Lower
A	Above	C	Lowest
B+	Average	D	In Reorganization
NC	Not Ranked		

EPS Estimates

CFRA's earnings per share (EPS) estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus (average) EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics, including Fair Value.

Abbreviations Used in Equity Research Reports

CAGR - Compound Annual Growth Rate
CAPEX - Capital Expenditures
CY - Calendar Year
DCF - Discounted Cash Flow
DDM - Dividend Discount Model
EBIT - Earnings Before Interest and Taxes
EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
EPS - Earnings Per Share
EV - Enterprise Value
FCF - Free Cash Flow
FFO - Funds From Operations
FY - Fiscal Year
P/E - Price/Earnings
P/NAV - Price to Net Asset Value
PEG Ratio - P/E-to-Growth Ratio
PV - Present Value
R&D - Research & Development
ROCE - Return on Capital Employed
ROE Return on Equity
ROI - Return on Investment
ROIC - Return on Invested Capital
ROA - Return on Assets
SG&A - Selling, General & Administrative Expenses
SOTP - Sum-of-The-Parts
WACC - Weighted Average Cost of Capital

Dividends on American Depository Receipts (ADRs) and American Depository Shares (ADSs) are net of taxes (paid in the country of origin).

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ **5-STARS (Strong Buy):**
Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★☆ **4-STARS (Buy):**
Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★☆☆ **3-STARS (Hold):**
Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★☆☆☆ **2-STARS (Sell):**
Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★☆☆☆☆ **1-STAR (Strong Sell):**
Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.

Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

STARS Stock Reports:

Qualitative STARS rankings are determined and assigned by equity analysts. For reports containing STARS rankings refer to the Glossary section of the report for detailed methodology and the definition of STARS rankings.

Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five (six) model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section seof the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of September 30, 2023

Ranking	North America	Europe	Asia	Global
Buy	36.8%	34.5%	41.6%	37.4%
Hold	53.8%	51.2%	50.3%	52.6%
Sell	9.4%	14.3%	8.1%	10.1%
Total	100.0%	100.0%	100.0%	100.0%

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